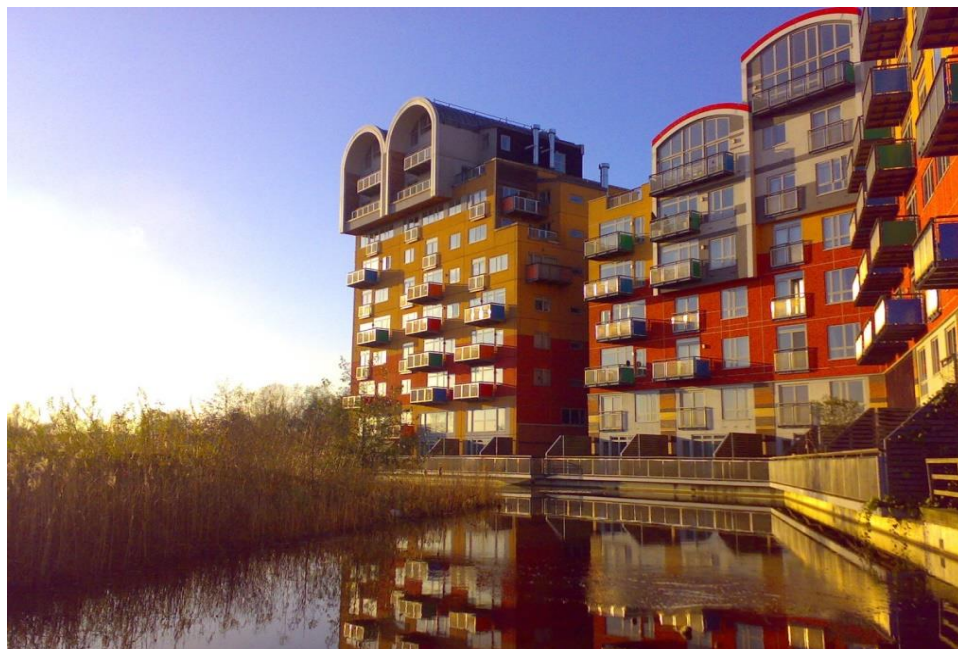


GREENWICH MILLENNIUM VILLAGE FARNSWORTH COURT



**SERVICE CHARGE ACCOUNTS
YEAR ENDED
31ST MARCH 2022**

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
INDEX
YEAR ENDING 31 MARCH 2022

	Page
Service Charge Accounts Information	1
Report of the Auditors	2
Income and Expenditure Account	3
Balance Sheet	4
Notes to Accounts	5-7

**GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
SERVICE CHARGE INFORMATION
YEAR ENDING 31 MARCH 2022**

Landlord	Aviva Investors Ground Rent GP Limited and Aviva Investors Ground Rent Holdco Limited No. 1 Poultry London EC2R 8EJ
Management Company	GMV Management Limited c/o Rendall & Rittner Limited 13B St George Wharf London SW8 2LE
Managing Agent	Rendall & Rittner Limited 13B St George Wharf London SW8 2LE
Auditor	UHY Hacker Young LLP Quadrant House 4 Thomas More Square London E1W 1YW

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
INDEPENDENT AUDITOR'S REPORT TO THE LANDLORD OF GREENWICH MILLENNIUM VILLAGE,
FARNSWORTH COURT
YEAR ENDING 31 MARCH 2022

We have audited the accompanying service charge accounts for Greenwich Millennium Village, Farnsworth Court for the year ended 31 March 2022, which comprise the Income and Expenditure accounts, Balance Sheet and related Notes to Accounts. The accounts have been prepared in accordance with the accounting policies set out in Note 1 to the accounts.

Landlord/Managing Agent's responsibility for the accounts

The Landlord/Managing Agent is responsible for the preparation of these accounts in accordance with the terms of the lease, and for such internal control as the Managing Agent, who maintains the accounting records, determines is necessary to enable the preparation of accounts that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the accounts, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the preparation of the accounts in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as evaluating the overall presentation of the accounts.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion the service charge accounts of Greenwich Millennium Village, Farnsworth Court for the year ended 31 March 2022 are prepared, in all material respects, in accordance with the accounting policies set out in Note 1 to the accounts.

Basis of Accounting and Restriction on Distribution and Use

Without modifying our opinion, we draw attention to Note 1 to the accounts which describes the basis of accounting. Our report has been prepared pursuant to the terms of our engagement letter and for no other purpose. No person is entitled to rely on this report unless such a person is a person entitled to rely upon this report by virtue of our engagement letter or has been expressly authorised to do so by our prior written consent. Save, as above, we do not accept responsibility for this report to any other person or any other purpose and we hereby expressly disclaim any and all such liability.

UHY Hacker Young
UHY Hacker Young LLP
Quadrant House
4 Thomas More Square
London
E1W 1YW

Date: 30 September 2022

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
INCOME & EXPENDITURE ACCOUNT
YEAR ENDING 31 MARCH 2022

	Note	2021 Actual £	2021 Budget £	2020 Actual £
INCOME				
Service Charges Receivable		154,397	154,396	133,041
Reserve Contribution Receivable		89,382	89,381	-
		243,779	243,777	133,041
EXPENDITURE				
Utilities				
Communal Electricity (Lighting Etc)		9,845	9,371	9,153
		9,845	9,371	9,153
Contracts, Maintenance & Services				
Bin Purchase Hire (Blocks)		1,431	1,431	1,403
Cleaning Materials		577	398	413
Door and Gate Entry System		-	800	834
Fall Arrest System and Accessways		905	128	1,312
Fire Alarm System		1,653	5,000	4,643
General Maintenance		8,437	7,500	19,324
Health and Safety Reports		1,621	1,454	1,454
Lift		8,065	9,757	8,393
Lift Insurance		1,767	1,820	1,679
M & E Contract		5,152	5,150	5,152
M & E Parts and Materials		3,629	6,240	4,788
Play Equipment Maintenance and Inspection		125	777	420
TV System Maintenance		665	1,500	569
Window Cleaning		8,639	7,824	3,103
		42,666	49,779	53,487
Insurance				
General Estate/Block Insurance		94,963	95,246	73,915
		94,963	95,246	73,915
Total Service Charge Expenditure		147,474	154,396	136,555
Contribution to Reserves		89,381	89,381	-
TOTAL EXPENDITURE		236,855	243,777	136,555
Surplus/(Deficit)	5	6,924	-	(3,514)



For and on behalf of Rendall & Rittner Limited

Date: 30 September 2022

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
BALANCE SHEET
YEAR ENDING 31 MARCH 2022

		2022		2021
	Note	£	£	£
CURRENT ASSETS				
Service Charge Debtors		58,535		36,538
Other Debtors	4	59,730		200
Prepayments		9,423		8,226
Bank - Service Charge	3	95,202		62,561
Bank - Reserve	3	56,548		113,971
Bank - Reserves Long Term Deposit Account		692,000		692,000
Deficit due from lessees 2021		-		3,514
			971,438	917,010
CURRENT LIABILITIES				
Trade Creditors		7,584		660
Payments in Advance		1,942		1,354
Other Creditors	5	2,095		-
Prepaid Income		87,014		60,944
Accruals		5,916		1,559
Insurance Accruals		65,634		55,567
Surplus due to lessees 2022	7	6,924		-
			177,109	120,084
NET ASSETS			794,329	796,926
FINANCED BY:				
RESERVE FUND			794,329	796,926

We confirm our approval of these accounts;



For and on behalf of Rendall & Rittner Limited

Date: 30 September 2022

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT

NOTES TO THE ACCOUNTS

YEAR ENDING 31 MARCH 2022

I. ACCOUNTING POLICIES

Accounting Convention

The accounts have been prepared on the accruals basis and in accordance with the lease.

Expenditure

Expenditure represents amounts payable for goods and services in connection with managing and maintaining the property.

Expenses in connection with major capital items are not shown in the income statement but charged directly to reserves, and the income is charged only with amounts set aside in the current period.

Service Charge Income

Service charge income represents amounts demanded on account from the leaseholder.

Interest Receivable

Interest received in respect of Service Charge bank accounts is credited to the Service Charge income as when received, net of taxation.

Interest received in respect of Reserve Fund bank accounts is credited to the Reserve Fund as and when received, net of taxation.

2. TAX ON INTEREST RECEIVED

A Service Charge Trust has been established under Section 42 of the Landlord & Tenant Act 1987 and the lease. Interest earned on service charge monies held is taxable at the basic rate of income tax. The rate of tax applied to interest received during the year was 20% (2021 - 20%).

3. BANK ACCOUNT

All client monies are held by way of a statutory trust, in designated Client Bank Accounts at The Royal Bank of Scotland and Natwest Plc in accordance with Section 42 and Section 42A of the Landlord & Tenant Act 1987.

Account Names;

R&R GMV SC CLIENT AC No: 06103394

R&R GMV RF CLIENT AC No: 06302272

R&R Common Receipts A/C 06980028

R&R GMV DEPOSIT CLIENT ACCOUNT: 31411061

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
NOTES TO THE ACCOUNTS
YEAR ENDING 31 MARCH 2022

4. OTHER DEBTORS

	£
Due from Building Safety Fund (BSF) 2022	54,733
Due from Building Safety Fund (BSF) 2021	4,997
	<u>59,730</u>

5. OTHER CREDITORS

	£
Intra Notional Adjustments	2,095
	<u>2,095</u>

6. RESERVES

The Reserve Fund has been established to provide funds in order to contribute to the cost of major works which are expected to arise in the future as well as costs of large, non-regular work.

Balance as at 01-Apr-21 £	Provision in Year £	Interest Received £	Expenditure in Year £	Balance as at 31-Mar-22 £
796,926	89,381	-	(91,978)	794,329
<u>796,926</u>	<u>89,381</u>	<u>-</u>	<u>(91,978)</u>	<u>794,329</u>

Details of Expenditure

	£
Roof Repairs	18,429
External Wall System Project	54,733
External Wall System Project – Reimbursement from BSF	(54,733)
BSF credit for 2020-21 expenditure on EWS project	(4,997)
Cold Water Booster Repairs	3,617
Brise Soleil Strategy - Professional Fees	708
Fire Stopping - Professional Fees	1,152
Fire Door Remedial Works	15,130
Fire Stopping Works	53,409
Door Entry Upgrade Project	4,530
	<u>91,978</u>

GREENWICH MILLENNIUM VILLAGE, FARNSWORTH COURT
NOTES TO THE ACCOUNTS
YEAR ENDING 31 MARCH 2022

7. SURPLUS/(DEFICIT) ON BUDGETED EXPENDITURE

	£
Surplus on Budgeted Expenditure to 31 March 2022	6,924
Credited to Lessees during year ended 31 March 2023	(6,924)
Carried Forward	-

These accounts set out the total costs incurred by your landlord for the period stated above. If the accounts show a deficit and if a demand for payment of that deficit does not accompany these accounts, please note that you will subsequently be required under the terms of your lease to contribute to them by the payment of a service charge.

8. BUILDING INSURANCE

The property is insured as at 31 March 2022 with Aviva Insurance Limited under policy number 100552602CPO for building insurance for a sum insured of £58,768,936.

9. INCOME & RELATED INCOME OR OTHER BENEFITS

Rendall & Rittner Limited have earned the following income (incl. VAT) relating to the Service Charge as a result of our management of Greenwich Millennium Village, Farnsworth Court in the year;

	2022	2021
	£	£
Section 20 Fees - Fire Equipment Upgrade	-	1,800

Additionally, Rendall and Rittner Ltd also receive a commission for arranging utility procurement. The utility commission is based on consumption and not cost.

10. SECTION 21(5) SUMMARY

Summary of costs as required by section 21 (5) Landlord and Tenant Act 1985 as amended by schedule 2 of Landlord and Tenant Act 1987;

	£
Demands for payment were received and paid by the Landlord within the year to the value of:	225,952
Demands for payment were received but remained unpaid by the Landlord at the year end to the value of:	7,584
No demands for payment were received by the Landlord by the year end but provision was made to the value of:	5,916
	239,452